Elon Musk: A Different Conversation w/ Nikhil Kamath | Full Episode | People by WTF Ep. 16

[Speaker 2] (0:44 - 1:08)

Our audience is largely wannabe entrepreneurs in India. And I feel like all of us have so much to learn from you because you have done it so many times over in so many different domains. Yeah.

So we will speak to them today and I will try and center all my questions in that direction so they can take advantage of this conversation and maybe start, take a chance and build something.

[Speaker 1] (1:25 - 1:32)

Do you want a coffee? Sure, why not? Are we going to be talking for a while?

[Speaker 2] (1:33 - 1:34)

I hope we are.

[Speaker 1] (1:34 - 1:35)

Okay, yeah. Sure.

[Speaker 2] (1:38 - 1:38)

Meghna?

[Speaker 1] (1:38 - 1:39)

May I trouble you for a coffee?

[Speaker 2] (1:40 - 1:41)

Can we get another coffee?

[Speaker 1] (1:43 - 1:44)

Cappuccino, I guess.

[Speaker 2] (1:45 - 1:47)

Are you a coffee drinker, Elon?

[Speaker 1] (1:47 - 1:50)

Yeah, yeah. Yeah? Yeah, I have coffee once, usually in the mornings, you know.

[Speaker 2] (1:52 - 1:53)

One a day kind of thing?

[Speaker 1] (1:53 - 1:54)

Yeah, pretty much.

[Speaker 2] (1:58 - 2:00)

Do you want to wait for it?

[Speaker 1] (2:00 - 2:02)

No, I'm good.

[Speaker 2] (2:07 - 2:15)

The first thing I must say is you're a lot bigger and bulkier, muscular than I would have thought you are.

[Speaker 1] (2:15 - 2:24)

Oh, stop. You must have made me blush. Really?

Seriously? Yeah, I mean, look, on the internet I'm small, you know.

[Speaker 2] (2:31 - 2:37)

Essentially, what percentage of internet is spent on Twitter? Is there a number to it on X?

[Speaker 1] (2:37 - 3:50)

Well, so we have like about 600 million monthly users. Although it can spike up if there's some major event in the world. It can get up to, I don't know, 800 million or a billion if there's some major event in the world.

So there's, I don't know, 250 to 300 million per week type of thing. It's a pretty decent number. It tends to be readers, you know, people that read words.

Do you think that'll change? Yeah, I mean, there's certainly a lot of video on the X system. But at this point, increasing amounts of video.

But I think where the X network is strongest is among people who think a lot and read a lot. So that's where it's going to be strongest. Because we have words.

Among readers, writers, and thinkers, I think X is number one in the world.

[Speaker 2] (3:52 - 4:14)

As far as social media goes, the form factor, if you had to wager a guess for tomorrow, how much is text, how much is video? I've heard you speak about maybe voice and hearing being the next form of communication with AI. What happens to X in its true form?

How does it evolve?

[Speaker 1] (4:16 - 4:57)

Yeah, so I do think most interaction is going to be video in the future. Most interaction is going to be real-time video with AI. So real-time video comprehension, real-time video generation.

That's going to be most of the load. And that's how it is for most of the internet right now. Most of the internet is video.

Text is a pretty small percentage. But the text tends to be higher value, generally. It's more densely compressed information.

But if you say what is the most amount of bits generated and compute spent, it's certainly going to be video.

[Speaker 2] (4:58 - 5:09)

So I used to be a shareholder of X, a very small one. And I got paid when you bought Twitter and you made it X. Happy decision?

Glad you did it?

[Speaker 1] (5:09 - 6:41)

Yeah, I think it was important. I felt like Twitter was heading in the right direction. Or had gone in a direction that had more of a negative influence on the world.

I mean, of course, this depends on one's perspective. Some people will say, well, actually, they liked the way it was, and now they don't like it. But I think the fundamental thing was that Twitter was amplifying, I would say, a fairly pretty far left by most people's standards in the world's ideology because of where it was based in San Francisco.

And they actually suspended a lot of people on the right. So from their perspective, even someone in the center would be far right. If you're far left, anyone in the center is far right.

Because on the political spectrum, they're just as far left as you get in the United States and San Francisco. So what I've tried to do is just restore it to be balanced and centrist. So there haven't been any left-wing voices that have been suspended or banned or de-amplified or anything like

that.

Some of them have chosen to just go somewhere else. But at this point, the operating principle of the X system is to adhere to any country's laws, but not to put our thumb on the scale beyond the laws of the country.

[Speaker 2] (6:44 - 7:16)

When I think of social media, when I think of social media, Elon, I feel like even data suggests that the current incumbents seem to be losing traction amongst the youngest of audience. Even platforms like Instagram, I mean, they're not exactly like Twitter, but platforms across the board. Elon, if one had to rework social media and build something bottom-up, what do you think would work for the world of tomorrow?

[Speaker 1] (7:18 - 9:53)

Well, I mean, I don't think that much about social media, to be frank. I can mostly just want to have something where there's, in the case of X, kind of a global town square where people can say what they want to say with words, pictures, video, where there's a secure messaging system. We've recently added the ability to do audio and video calls.

So you're really trying to bring the world together into a collective consciousness. And that's, I guess, different from just saying, what is the most dopamine-generating video stream that one could make, which I think can be a little bit of brain rot, frankly. If you're just watching videos that just cause dopamine hits one after another, but lack substance, then I think that's not a great way to spend time.

But I do think that's actually what a lot of people are going to want to watch. So if you say total internet usage, it's going to probably be optimizing for neurotransmitter generation. There's somebody getting a kick out of it.

But it becomes like a drug type of thing. But I'm not really after... My goal is not to do that.

I guess I could do that if I wanted to. I just want to really have a goal platform that brings together... Like I said, it becomes as close to a collective consciousness of humanity as possible.

And one of the things that we've introduced, for example, is automatic translation. Because I think it would be great to bring together what people say in many different languages, but automatically translated for the recipient. So you have the collective consciousness, not just of people in a particular language group, but you have the thoughts of people in every language group.

[Speaker 2] (9:53 - 9:58)

And why is that important, Dino? Collective consciousness, to have one platform?

[Speaker 1] (9:59 - 11:46)

I guess... Why is that important? I guess it's...

You could also say like, why? If you consider humans, humans are composed of around 30 to 40 trillion cells. And there's trillions of synapses in your mind.

But there's not... The why of it, I guess, is just so we can increase our understanding, increase our... our understanding of the universe.

So... I guess I had this question about what's the meaning of life? Like, why?

Why is anything important? Why are we here? What's the origin of the universe?

What is the end? What are the questions that we don't even know to ask? And probably the questions we don't even know to ask are the most important ones.

So I'm just trying to, I guess, understand what's going on. What is going on in this reality? Is this reality?

Is this reality?

[Speaker 2] (11:50 - 11:55)

And where did you get, when you asked, what is the point of life?

[Speaker 1] (11:56 - 12:09)

Yeah, so I... I came to the conclusion that, which is somewhat in the Douglas Adams Hitchhiker's Guide to the Galaxy school of thought, which is...

[Speaker 2] (12:09 - 12:09)

What'd he do?

[Speaker 1] (12:10 - 13:02)

Yeah, you know, he sort of... Hitchhiker's Guide to the Galaxy is like a book on philosophy disguised as humor. And that's where you get the...

Earth turns out to be this computer to understand, to get to figure out the answer of the meaning of life. And it comes up with the answer 42. But then, it's like, what does 42 mean?

And it turns out, well, actually the hard part is the question, not the answer. And for that you need a much bigger computer than Earth. So basically what Douglas Adams was saying is that we actually don't know how to frame the questions properly.

And so I think by expanding the scope and scale of consciousness, we can better understand what questions to ask about the answer that is the universe.

[Speaker 2] (13:03 - 13:35)

Do you believe the collective consciousness of society? You know, when I was watching this movie recently called The Gladiator, Russell Crowe. Have you seen it?

In Gladiator in Rome, when people are fighting and the crowd is cheering when people kill each other, the collective is very much like the mob. It doesn't have nuance in its opinion, per se.

[Speaker 1] (13:36 - 13:41)

Well, that's a particular kind of mob. They're sort of going there to see people kill each other.

[Speaker 2] (13:42 - 13:45)

Do you suspect the society we live in today is very different?

[Speaker 1] (13:46 - 13:52)

We don't generally, at this point, we don't go and watch people kill each other.

[Speaker 2] (13:53 - 13:56)

Maybe some kind of euphemism of that.

[Speaker 1] (13:57 - 17:34)

Sports, I suppose. So people do sports where teams attempt to defeat each other minus the death. So, just going back to the consideration of a human.

We all started out as one cell, but now we are over 30 trillion cells. But I think most people feel like they're one body. Usually your right hand is not fighting your left hand type of thing.

They tend to sort of cooperate. Your mind is just a vast number of neurons. But most of the time it doesn't feel like there's a trillion voices in your brain.

Hopefully not. So there's clearly more that happens when you have trillions of cells working as a cellular collective than, say, one cell. Or a small multicellular creature.

There's clearly something different that happens. You can't talk to a bacteria. It's very silent.

They just sort of wiggle around. From their perspective, I don't know. What is life like from the perspective of an amoeba?

But I know you can't talk to an amoeba. They don't talk back. But you can talk to humans.

So there's just something qualitatively, fundamentally different for humans once you have a large number of cells and a sufficiently large brain type of thing. You now talk to humans. And they can say things.

They can produce things. But bacteria are not going to produce a spaceship, for example. But humans can.

So I think there's something qualitatively different that also happens when there's a collection of humans. In fact, it's safe to say that a single human cannot make a spaceship. I could not make a spaceship by myself.

But with a collection of humans, we can make spaceships. So there's something, obviously, qualitatively different about a collection of humans. In fact, it would be impossible for me to learn all of the areas of expertise.

There wouldn't be enough time in one lifetime to even learn all the things before I was dead. So you really fundamentally have to have a collection of humans to make a rocket. Then I think there are probably some other qualitative scaling things that happen when you have groups of humans.

And then if the quality of the interaction, the quality of the information flow, the better it is, the more the human collective will achieve. And like I said, I'm just curious about the nature of the universe. And I think if we increase the scope and scale of consciousness, we're much more likely to understand the nature of the universe than if we reduce it.

[Speaker 2] (17:36 - 17:45)

Is that a bit like spirituality? A lot of people talk to me about spirituality. I still don't know what it actually means.

I keep asking them, what do you mean?

[Speaker 1] (17:46 - 18:33)

What do you mean? I mean, a lot of people have spiritual feelings. And I wouldn't try to deny that those spiritual feelings are real to them.

But it doesn't entirely translate. Just because somebody else has a spiritual feeling doesn't mean that I would have that spiritual feeling. So, I tend to be kind of physics-pulled, which is, if something has predictive value, then I'll pay more attention to it than if it doesn't have predictive value.

So, physics, I would say, is the study of that which has predictive value. I think that's a pretty

good definition.

[Speaker 2] (18:34 - 18:41)

My primary job, Elon, is a stock broker and stock investor. There is no predictive value. Nobody knows what will happen tomorrow.

[Speaker 1] (18:42 - 19:28)

Well, but I think you can generally say, you know, that if it's long-term for a company, then you can say, well, do you like the products or services of that company? And is it likely to, do you like the product roadmap? It seems like they make great products and they're likely to make great products in the future.

If that's the case, then I would say that's probably a good company to invest in. And I think you also want to believe in the team. So, if they're, well, that's a talented and hard-working team, they make good products today, they seem to be still motivated to make things in the future, then I'd say that's a good company to invest in.

[Speaker 2] (19:28 - 19:29)

Fair point.

[Speaker 1] (19:29 - 20:00)

Yeah, and now, that won't solve for the daily fluctuations, which are often and sometimes are pretty extreme. But over time, that is the right way to invest in stocks. Because a company is just a group of people assembled to create products and services.

So you have to say, well, how good are those products and services? Are they likely to continue to improve in the future? If so, then you should buy the stock of that company and then don't worry too much about the daily fluctuations.

[Speaker 2] (20:02 - 20:34)

What's got you most excited now, Elon, in terms of all that you're building? You're doing so much. So let me just preface and contextualize who is watching this.

Our audience is largely wannabe entrepreneurs in India. Really ambitious, really hungry, want to take the risk and build something. And I feel like all of us have so much to learn from you because you've done it so many times over in so many different domains.

[Speaker 1] (20:34 - 20:34)

Yeah.

[Speaker 2] (20:35 - 20:46)

So we will speak to them today and I will try and center all my questions in that direction so they can take advantage of this conversation and maybe start, take a chance and build something.

[Speaker 1] (20:47 - 21:03)

Okay, sure. Yeah, I guess the most important thing to do is just make useful products and services. Yeah.

[Speaker 2] (21:04 - 21:09)

Which one of all the products and services that you're building has got you most excited today?

[Speaker 1] (21:13 - 22:11)

Well, I think that there's increasingly a convergence, actually, between SpaceX and Tesla and XAI in that if the future is solar-powered AI satellites, which it pretty much needs to be in order to harness a non-trivial amount of the energy of the sun, you have to move to solar-powered AI satellites in deep space. Which somewhat is a confluence of Tesla expertise and SpaceX expertise and XAI on the AI front. So I just feel like over time there's somewhat of a convergence there.

But all the companies are doing great things. I'm very proud of the teams. They do great work.

So we're making great progress with Tesla on the autonomous driving. I don't know if you've tried the self-driving. Have you tried it?

[Speaker 2] (22:12 - 22:13)

I've tried it in the Waymo, not in the Tesla.

[Speaker 1] (22:14 - 22:18)

Yeah, it's worth trying. We actually have it here in Austin.

[Speaker 2] (22:18 - 22:19)

Yeah, I'd love to try it.

[Speaker 1] (22:20 - 23:29)

You can literally just download the Tesla app. And I think it's open to anyone. Definitely try it out.

You know how it goes. But we've made a lot of progress with electric vehicles, with battery packs and solar. And very much so with self-driving.

So basically real-world AI. Tesla is the world leader in real-world AI, I would say. And then we're going to be making this robot Optimus, which is starting production hopefully somewhere next year at scale.

And I think that's going to be pretty cool. Everyone's going to want their own personal C-3PO RTD ready to help a robot. It would be pretty cool.

And then SpaceX is doing great work with the Starlink program, providing low-cost, reliable internet throughout the world. Hopefully India. We'd love to be operating in India.

That would be great. We're operating in 150 different countries now with Starlink.

[Speaker 2] (23:29 - 23:41)

Can you give me a bit about Starlink and how the tech works? Because somebody I'm speaking to, I don't know if you know this company called Meta out of San Francisco. They're trying to replace network engineers.

[Speaker 1] (23:42 - 23:43)

Don't know it, no.

[Speaker 2] (23:43 - 23:54)

So he was telling me about how in densely populated areas, Starlink works differently than it might be in a place with not as many people. Can you explain how it works?

[Speaker 1] (23:55 - 27:14)

Yeah, so Starlink, there's several thousand satellites in low-Earth orbit. And they're moving around 25 times the speed of sound in the zipping around the Earth, basically. And they're at an altitude of about 550 kilometers, which is generally low-Earth orbit.

Because they're at low-Earth orbit, the latency is low. Because the distance is not that far compared to a geostationary satellite at 36,000 kilometers. So you've got thousands of satellites providing low-latency, high-speed internet throughout the world.

And they are interconnected as well. So there are laser links between the satellites. So it forms sort of a laser mesh.

Let's say if cables are damaged or cut, like fiber cables, the satellites can communicate between each other and provide connectivity even if the cables are cut. So, for example, when the Red Sea cables were cut, I think a few months ago, the Starlink satellite network continued to function without a hitch. So it's particularly helpful for disaster areas.

But if an area has been hit with some kind of natural disaster, floods or fires or earthquakes, that tends to damage the ground infrastructure. But the Starlink satellites still work. And generally, whenever there's some sort of natural disaster somewhere, we always provide people with free Starlink internet connectivity.

We don't take advantage of a tragic situation. So if there's natural disasters, we're like, okay, it's free during the natural disaster. We don't want to put a paywall up while somebody's trying to get help.

That would be wrong. So it's a very robust system. It's complementary to ground systems because the satellite beams work best in sparsely populated areas.

Because you've got a satellite beam, it's a pretty big beam, and you have a fixed number of users per beam. So it tends to be very complementary to the ground-based cellular systems because those are very good in cities because you've got these cell towers that are only a kilometer apart type of thing. But cell towers tend to be inefficient in the countryside.

So in rural areas is where you tend to have the worst internet because it's very expensive and difficult to do all the fiber optic cables or to have high-bandwidth cellular towers. So Starlink is very complementary to the existing telecom companies. It basically tends to serve the least served, which I think is good.

[Speaker 2] (27:16 - 27:36)

Will that change tomorrow? Today, as you explained, the beam is quite broad and it can't work in a densely populated area with high buildings maybe. But can that change and tomorrow it becomes really efficient in a densely populated city where it is competitive with the local network providers?

[Speaker 1] (27:36 - 29:04)

Unfortunately, the physics don't allow for that. We're too far away. So at 550 kilometers, even if we try to reduce it, about as low as we can go is about 350 kilometers.

It's still very far away. You can think of it like a flashlight. That flashlight's got a cone and that cone is coming at, today it's 550 kilometers.

In the future, we'll try to get down to 350 kilometers. But we can't be something that's one kilometer away. Physics is not on our side here.

So it's not physically possible for Starlink to serve densely populated cities. You can serve a little bit, maybe 1% of the population. And sometimes people get, even in crowded cities, there might be no fiber link up their road.

Sometimes there's somebody on a cul-de-sac or something. In cities, there's sometimes underserved areas for random reasons. So Starlink can serve, like I said, maybe 1% or 2% of a densely populated city.

But it can be much more effective in rural areas where the internet connection is much worse. And often people either have sometimes no access to internet or it's extremely expensive or the quality is not very good.

[Speaker 2] (29:06 - 29:18)

If I were to ask you to wager a guess, Elon, do you think India will go down the path of urbanization like China did with more people moving in from rural economies to urban centers?

[Speaker 1] (29:20 - 29:34)

Well, I suppose some amount of that has happened, right? I'm curious to ask you some questions as well. Isn't that the trend or is it not the trend in India?

[Speaker 2] (29:35 - 30:00)

It is the trend largely. I think a little bit changed during COVID when a lot of urbanization slowed down. And that was not organic.

It was very artificially manifested. But one does question that with AI, if productivity were to go up, and I heard you speak about UHI instead of UBI.

[Speaker 1] (30:02 - 30:03)

I think it will be universal high income.

[Speaker 2] (30:03 - 30:17)

In a world like that, I wonder if more people want to live in cities which are always going to be more polluted and not offer the quality of lifestyle that a rural environment might.

[Speaker 1] (30:18 - 30:36)

Well, I guess it's up to, some people want to be around a lot of people and some people don't. It's going to be maybe a matter of personal choice. But I think in the future, it won't be the case that you have to be in a city for a job.

Because I think my prediction is in the future, working will be optional.

[Speaker 2] (30:38 - 30:44)

We seem to be moving from, not in India, but in some parts of the West from six days to five days

to four days to three.

[Speaker 1] (30:46 - 30:46)

Not me.

[Speaker 2] (30:49 - 30:50)

I think the Europeans.

[Speaker 1] (30:51 - 31:10)

Yeah, yeah. Yeah, yeah. I think if you're trying to make a startup succeed or you're trying to make a company do very difficult things, then you definitely need to put in serious hours.

I think that's how it goes.

[Speaker 2] (31:12 - 31:21)

And if we were to move from five to four to three days, how do you think society changes? When people have to work half the week, what do they do with the other half?

[Speaker 1] (31:21 - 31:45)

Well, I think it'll actually be that people don't have to work at all. And it may not be that far in the future. Maybe only, I don't know, 10, I'd say less than 20 years.

My prediction is in less than 20 years, working will be optional. Working at all will be optional. Like a hobby.

Pretty much.

[Speaker 2] (31:47 - 31:52)

And that would be because of increased productivity, meaning people do not have to work?

[Speaker 1] (31:52 - 32:43)

They don't have to. Look, obviously people can play this back in 20 years and say, look, Elon made this ridiculous prediction, and it's not true. But I think it will turn out to be true that in less than 20 years, maybe even as little as, I don't know, 10 or 15 years, the advancements in AI and robotics will bring us to the point where working is optional.

In the same way that, like, say, you can grow your own vegetables in your garden, or you could go to the store and buy vegetables. You know. It's much harder to grow your own vegetables.

But, you know, some people like to grow their vegetables, which is fine, you know. But it'll be

optional in that way, is my prediction.

[Speaker 2] (32:45 - 33:02)

If one were to argue that humans are innately competitive and everything is relative, from the time of hunters, somebody wanted to be the alpha hunter or the biggest farmer. If everybody gets a universal high income and everybody has enough.

[Speaker 1] (33:03 - 33:04)

What do you compete for?

[Speaker 2] (33:06 - 33:10)

It would be relative, right? Like, if we all had enough, enough is not enough.

[Speaker 1] (33:13 - 34:33)

Yeah, I guess, I'm not exactly sure. Because we're really headed into the singularity, as it's called, which, you know, they refer to AI sometimes as the kind of like a black hole, like a singularity. You don't know what happens after the event horizon.

It doesn't mean that something bad happens, it just means you don't know what happens. I'm confident that if AI and robotics continue to advance, which they are advancing very rapidly, like I said, working will be optional and people will have any goods and services that they want. If you can think of it, you can have a type of thing.

But then at a certain point, AI will actually saturate on anything humans can think of. And then at that point, it becomes a situation where AI is doing things for, AI and robotics are doing things for AI and robotics because they've run out of things to do to make the humans happy. Because there's a limit.

People can only eat so much food. If you can think of it, you can have it, will be the future.

[Speaker 2] (34:34 - 34:55)

You know the Austrian school of economics, if you go back in time, with the digression from Adam Smith, they talk about the marginal utility of everything. Having one of something has value, having two of the same thing has lesser value, and having 10 of the same thing has no value. So if we could have everything we wanted, maybe we would.

[Speaker 1] (34:55 - 35:10)

Like 10 marshmallows, I mean, who wants that? One's plenty. It's like the marshmallow texture, you can have two marshmallows later or one marshmallow now and I'm like, I'll have one

marshmallow, I don't want two marshmallows.

[Speaker 2] (35:10 - 35:10)

That's interesting.

[Speaker 1] (35:12 - 35:25)

What would you pick? One marshmallow is enough. I always question marshmallows as being like, not the most, you know, the best candy, you know.

I don't yearn for marshmallows.

[Speaker 2] (35:26 - 35:27)

I think you're the best.

[Speaker 1] (35:28 - 35:29)

Who does?

[Speaker 2] (35:30 - 35:34)

You're the best testament to the marshmallow experiment. I think.

[Speaker 1] (35:34 - 35:37)

I suppose so. I mean, like delayed gratification, essentially?

[Speaker 2] (35:38 - 35:42)

You're able to delay it more than most. You know, I have a tattoo which says delay gratification.

[Speaker 1] (35:42 - 35:45)

Yeah, wow, okay. You're really taking the marshmallow test hard.

[Speaker 2] (35:47 - 35:51)

I feel like I can't remember when I'm trading or when I'm buying.

[Speaker 1] (35:51 - 35:52)

Delay gratification, yeah, yeah.

[Speaker 2] (35:53 - 35:53)

It helps.

[Speaker 1] (35:53 - 35:54)

Wow, okay.

[Speaker 2] (35:55 - 35:59)

It's pointing at me, so it reminds me of...

[Speaker 1] (36:01 - 36:04)

Okay, well, it's good advice. I mean, I can't miss it.

[Speaker 2] (36:05 - 36:09)

If you could get a... If you could get a tattoo, what would you get?

[Speaker 1] (36:10 - 36:12)

I guess maybe my kids' names or something. Right.

[Speaker 2] (36:14 - 36:17)

Why do you like the letter X as much as you do?

[Speaker 1] (36:19 - 41:59)

Well... I mean, yeah, it's a good question, honestly. Sometimes I wonder what's wrong with me.

So... I mean, it started off with where I think... So way back in ancient times, in 99, in the pre-Cambrian era when there were only sponges, there were only three one-letter domain names.

And I think it's X, Q, and Z. And I was like, okay, I want to create this place where it's the financial crossroads or the financial exchange. Essentially, it's solving money from an information theory standpoint where the current banking system is a large number of heterogeneous databases with batch processing that are not secure.

And if we could have a single database that was real-time and secure, that would be more efficient from a monetary... From an information theory standpoint than a large number of heterogeneous databases that batch process very slowly and securely. So...

So that was sort of X.com way back in the day, which kind of became PayPal. And then... And it was acquired by eBay.

And then eBay, someone reached out from eBay and said, hey, do you want to buy the domain name back? And I was like, sure. And so I had the domain name for quite a while.

And then... And then, yes. Then I was like, well, maybe this acquiring Twitter would also be an opportunity to revisit the original plan of X.com, which is to create this...

This clearinghouse of financial transactions. Basically to create a more efficient money database is a way to think about it. Money is really an information system for labor allocation.

People sometimes think money is power in and of itself, but it doesn't really. If there's no labor to allocate, it's meaningless. So if you were to be on a desert island with a trillion dollars or whatever, it doesn't matter.

Oh, yeah, right. Why speculate when you can be real? I just hope I don't end up on a desert island, you know.

It's not going to be very useful to me. But it illustrates my point that if you're stranded on a desert island with a trillion dollars, it's not useful because there's no labor to allocate. You just allocate yourself.

So, um... So it's... So anyway, it's a long-winded way of saying that it's, uh...

It's just really, like... I'm just kind of slowly building, revisiting this idea that I had 25 years ago to create a more efficient, um... money database.

And if that's successful, people will use it. And if it's not successful, they won't use it. And then I also like the idea of having a unified...

app or website or whatever, where you can do anything you want there. So... China has this with WeChat somewhat, where you can exchange information, you can publish information, you can exchange money, you can, um...

You'll kind of live the life on WeChat in China. And it's quite useful. But there's no real WeChat outside of China.

So it's like... WeChat++, I'd say, is the idea for X. Anyway, so then...

Space Exploration Technologies is the full name of the company. But I was like, that's too much, that's a mouthful. So I was like, we'll just call it SpaceX, like FedEx for space.

Um... It just happens to have an X in the, you know, because exploration has an X. But, you know, and I was like, well, I like the idea of capitalizing the X just artistically.

So, um... So then, uh... That's why it's SpaceX.

But... And then, um... What else we got?

We got a kid. He's called X2. But his mother is the one that named him X.

And I said, you know, people are really going to think I've got a thing about X. If we name our kid X2, you know? And I said to her, like, look, I do have X.com, you know?

So people are going to really think I've got somewhat of a fetish for this letter. But she said, no, she likes X and she wants to call him X. I'm like, okay.

[Speaker 2] (42:00 - 42:02)

Is this a new thing? Or have you had it growing up?

[Speaker 1] (42:02 - 42:11)

No. I'm saying it's somewhat of a coincidence. Like, not everything's called X.

I mean, there's no X's in Tesla, you know?

[Speaker 2] (42:15 - 42:17)

What do you think money will be in the future, Elon?

[Speaker 1] (42:20 - 44:52)

I think... I think long term... I think money disappears as a concept, honestly.

It's kind of strange, but... In a future where anyone can have anything, I think you no longer need money as a database for labor allocation. If AI and robotics are big enough to satisfy all human needs, then money is no longer...

Its relevance declines dramatically. I'm not sure we will have it. So...

The best sort of imagining of this future that I've read is from Ian Banks, the culture books. So I recommend people read the culture books. In the sort of far future of the culture books, they don't have money either.

And everyone can pretty much have whatever they want. So... There's still some fundamental currencies, if you will, that are physics-based.

So energy is... Energy is the true currency. This is why I said Bitcoin is based on energy.

You can't legislate energy. You can't just pass a law and suddenly have a lot of energy. It's very difficult to generate energy, especially to harness energy in a useful way to do useful work.

So I think that's probably... We probably won't have money and probably we'll just have energy, power generation as the de facto currency. So...

I think one way to frame civilizational progress is the percentage completion on the Kardashev

scale. So... Kardashev 1 is what percentage of a planet's energy are you successfully turning into useful work?

Maybe paraphrasing here a little bit. But Kardashev 2 would be what percentage of the sun's energy are you converting into useful work? Kardashev 3 would be what percentage of the galaxy are you converting into useful work?

So things really, I think, become energy-based.

[Speaker 2] (44:53 - 45:07)

But if you have solar-powered AI satellites, energy is also free and abundant because we'll never be able to utilize all the solar energy available to us. So it can't be a store of wealth, essentially, in that sense, can it?

[Speaker 1] (45:08 - 45:45)

You know, there's not really... You can't really store wealth. You can only...

You can accumulate numbers in a... Currently, you can accumulate numbers in a database that allow you to... To incent the behavior of other humans in particular directions.

And I guess people call that wealth. But again, if there's no humans around, wealth accumulation is meaningless.

[Speaker 2] (45:45 - 45:52)

This is a digression, but if you were to consider food as the energy for a human to thrive...

[Speaker 1] (45:52 - 45:55)

Yeah, food is energy. It's literally good. Calories just means energy.

[Speaker 2] (45:55 - 45:59)

So can a farm, which is self-sustaining, be a commodity that is...

[Speaker 1] (46:04 - 46:53)

I'm not sure what that means. But there's... I think at a certain point, you do complete the cycle where...

I think at a certain point, you decouple from the conventional economy if you have AI and robots producing chips and solar panels and mining resources in order to make chips and robots in order to make... You sort of complete that cycle. Once that cycle is complete, I think that's the point at which you decouple from the monetary system.

[Speaker 2] (46:53 - 47:10)

Is that the way forward for the U.S. by virtue of how much debt they have today? Do they deflate away their currency and transition into this new form and lead that push because it would make more sense to them?

[Speaker 1] (47:10 - 47:16)

Well, in this future that I'm talking about, the notion of countries becomes sort of anachronistic.

[Speaker 2] (47:18 - 47:19)

Do you believe in it today?

[Speaker 1] (47:20 - 49:22)

Yeah, I certainly believe in it today. And I want to just separate something that I... These are just what I think will happen based on what I see as opposed to I think these are fundamentally good things and I'm trying to make them happen.

I think this would happen with or without me, whether I like it or not. As long as civilization keeps advancing, we will have AI and robotics at very large scale. I think that's pretty much the only thing that's going to solve for the U.S. debt crisis. Because currently the U.S. debt is insanely high and the interest payments on the debt exceed the entire military budget of the United States. Just the interest payments. And that's, at least in the short term, going to continue to increase.

So I think actually the only thing that can solve for the debt situation is AI and robotics. But it will more than... It might cause...

I guess it probably would cause significant deflation because deflation or inflation is really the ratio of goods and services produced to the change in the money supply. So if goods and services output increases fast in the money supply, you will have deflation. If goods and services decreases...

If real goods and services output increases slower than the money supply, you have inflation. It's that simple. People sometimes try to make it more complicated than that, but it just isn't.

So if you have AI and robotics and a dramatic increase in the output of goods and services, probably you will have deflation. That seems likely. Because you simply won't be able to increase the money supply as fast as you can increase the output of goods and services.

Supply is a real hazard here.

[Speaker 2] (49:23 - 49:26)

Should we do something about it?

[Speaker 1] (49:26 - 49:31)

Maybe we can convince it to go somewhere else. Entice it elsewhere.

[Speaker 2] (49:31 - 49:52)

It actually left, I think. Oh, no, it's back. It's back.

Maybe it's attracted to the light. No, it wants some coffee. Mine is over.

If deflation is inevitable because of AI...

[Speaker 1] (49:52 - 49:54)

It's most likely the case, yeah.

[Speaker 2] (49:55 - 50:02)

Right. Why do we have inflation again all over in society today? Has AI not led to increased productivity yet?

[Speaker 1] (50:04 - 50:54)

AI has not yet made enough of an impact on productivity to increase the goods and services faster than the increase in the money supply. So the US is increasing money supply quite substantially with deficits that are on the order of $2 trillion. So you have to have goods and services output increase more than that in order to not have inflation.

So we're not there yet. But if you say how long would it take us to get there, I think it's three years. Probably three years before.

In three years or less, my guess is goods and services output will exceed the rate of inflation. Goods and services growth will exceed money supply growth in about three years.

[Speaker 2] (50:56 - 51:03)

Maybe after those three years you have deflation and then interest rates go to zero and then the debt is a smaller problem than it is.

[Speaker 1] (51:03 - 51:06)

Yes. That's most likely the case.

[Speaker 2] (51:08 - 51:12)

You spoke about being in a simulation earlier. I love The Matrix.

[Speaker 1] (51:13 - 51:13)

Yes.

[Speaker 2] (51:13 - 51:16)

If you were to be a character from The Matrix, who would you be?

[Speaker 1] (51:16 - 51:43)

Well, there's not that many characters to pick from. Hopefully not Agent Smith. He's my hero.

I mean, Neo is pretty cool. The Architect is interesting. The Oracle.

It's the Oracle. Sometimes I feel like I'm an anomaly in The Matrix.

[Speaker 2] (51:44 - 51:51)

That is Neo. Do you believe you're in The Matrix, though? Like, actually believe?

[Speaker 1] (51:52 - 52:00)

I think you have to just think of these things as probabilities, not certainties. There's some probability that we're in a simulation.

[Speaker 2] (52:01 - 52:02)

What percentage would you attribute to that?

[Speaker 1] (52:09 - 52:11)

Probably pretty high. I would say it's pretty high.

[Speaker 2] (52:11 - 52:11)

Yeah?

[Speaker 1] (52:12 - 52:51)

Yeah. So one way to think of this is to say if you look at the advancement of video games, in our lifetime, or at least in my lifetime, it's gone from very simple video games where you've got, like Pong, you've got two rectangles in a square just batting it back and forth, to photorealistic, real-time games with millions of people playing simultaneously. And that's happened just in the span of 50 years.

So if that trend continues, video games will be indistinguishable from reality.

[Speaker 2] (52:52 - 52:52)

Right.

[Speaker 1] (52:54 - 54:09)

And we're also going to have very intelligent characters, like non-player characters, in these video games. Think of how sophisticated the conversations are you can have with an AI today, and that's only going to get more sophisticated. You can get more sophisticated and you'll be able to have conversations that are more complex and more sophisticated than almost any human conversation.

Maybe any. So then the future, if civilization continues, will be millions, maybe billions, of photorealistic, indistinguishable-from-reality video games with characters in those video games that are very deep and where the dialogue is not pre-programmed. That's for sure what's going to happen in this level of the simulation, if you could call it.

So then what are the odds that we are in base reality and that this has not happened before?

[Speaker 2] (54:11 - 54:22)

If I were to buy into that and assume that we are in a simulation, as Neo of the story, what do you know that I don't and I can learn from?

[Speaker 1] (54:23 - 56:11)

I think most likely, if we were outside the simulation, it would be less interesting in the simulation because we're most likely a distillation of what's interesting because that's what we do in this. That's what we do in our reality. And then I do also have a theory which is the most interesting outcome is the most likely outcome, as seen by a third party, the gods or god of the simulation.

Because when we do simulations, when humans do simulations, we stop those simulations that are not interesting. So if SpaceX is doing simulations of rocket flights, the boring ones, we discard because we don't learn anything from those. Or when Tesla is doing simulations for self-driving, Tesla is actually looking for the most interesting corner cases because the normal stuff, we already have plenty of data on driving on a straight road on a sunny day.

We don't need more of that. We need heavy weather conditions on a small, windy road with two cars that are coming at each other with an almost head-on collision. We need weird stuff, basically, interesting stuff.

So I think that from a Darwinian perspective, the simulations most likely to survive are going to be

the ones that are the most interesting simulations, which therefore means that the most interesting outcome is the most likely.

[Speaker 2] (56:12 - 56:21)

And the people who simulated our world, if one were to extrapolate, they themselves might in turn be in another simulation.

[Speaker 1] (56:21 - 56:22)

Yes.

[Speaker 2] (56:22 - 56:24)

And there could be many layers of simulation.

[Speaker 1] (56:24 - 56:24)

Yes.

[Speaker 2] (56:25 - 56:36)

Beyond all of these layers of simulation, do you think there's something? I read somewhere that you used to ascribe to Spinoza's God, in a way.

[Speaker 1] (56:37 - 57:01)

Well, I was really just pointing out that you don't have to have... One of the things Spinoza was saying is that you can have morals in the absolute. You don't need to have morals to be handed to you.

The question is, can morality exist outside of a religious context? And Spinoza was arguing that it can.

[Speaker 2] (57:01 - 57:19)

Wasn't he arguing for the laws of nature should be where we seek our laws of morality from, to a certain extent? Yes. But when I think of laws of nature, I see a tiger eat a deer.

So, in Spinoza's morality, that's fair game, right?

[Speaker 1] (57:29 - 59:01)

I think there's a lot of things you can take from Spinoza, but the only point I was making in referencing Spinoza was that you can have a set of morals that make society functional and productive, but without... You don't necessarily have to have religious doctrine for that. So,

that's...

Yeah. I think that's the main thing I was trying to say there. Like, I don't think people just...

Like, if somebody is... If there's... If there's not, like, a commandment not to kill, like, it doesn't mean somebody's...

Without that, they will run around murdering people. It's like, you don't have to have a commandment not to kill for a religious edict to run around killing people. I actually...

I've only played a little bit of GTA, because I didn't like the fact that... Like, in GTA V, you literally can't progress unless you kill the police. And I'm like, this doesn't work for me.

I actually don't like killing the NPCs in the video games. That's not my thing, you know? So, actually, I didn't like GTA, because I actually stopped when it said you have to...

The only way to proceed is to shoot at the police. I'm like, I don't want to do that.

[Speaker 2] (59:01 - 59:05)

Maybe that's why us, as the NPCs of our simulation, are not dying.

[Speaker 1] (59:06 - 59:25)

Maybe. Anyway, I think you can just sort of say there's some common sense things that, you know, any civilization that runs around, you know, where people just murder each other wantonly, it's not going to be a very successful one.

[Speaker 2] (59:28 - 59:42)

You seem to be changing a bit towards religion, though. Faith. Like, off late, you've said a bunch of things which are pro-religion, almost.

Not pro-religion, but on those lines.

[Speaker 1] (59:43 - 59:49)

I mean, I think the other religious... Other principles in religion that make sense, yeah. I think there are.

[Speaker 2] (59:51 - 1:00:02)

Is it easier for our simulation to have a pro-religion projection for the world that we live in? We become more relatable? It's easier?

[Speaker 1] (1:00:03 - 1:00:04)

Well, which religion, though?

[Speaker 2] (1:00:05 - 1:00:07)

Any. Depending on where you live.

[Speaker 1] (1:00:07 - 1:01:23)

So pick one, you know. It's pretty rare that kids have said, you know, which religion would you like? It's pretty rare.

I don't know too many situations where kids got offered, you know, like, what do you want to major in type of thing? It's usually like you get given a religion by your parents and your community. So, you know.

But, you know, I mean, I think, you know, there's good things in all religions that are good principles. You can sort of read any religious text and say, okay, this is a good principle. This is going to be...

This is going to lead to a better society, most likely, you know. So, I mean, in Christianity, sort of love thy neighbor as thyself, which is, you know, have empathy for fellow human beings, is a good one, I think, for a good society, you know. Basically just consider the feelings of others and treat other people as you would like to be treated.

[Speaker 2] (1:01:25 - 1:01:43)

If you had to redraw, resketch the world, Elon, think morality, politics, economy, how would you change the world we live in today? If you had to have Elon's simulation of things.

[Speaker 1] (1:01:45 - 1:02:28)

Well, overall, I think the world is pretty great right now. I mean, it's... You know, anyone who thinks that, like, today's world is not that great, I think they're not going to be excellent students of history.

Because if you... If you read a lot of history, you're like, wow, there was a lot of misery back then, you know. I mean, it used to be that, you know, people would be dropping dead of the plague all the time, you know.

Par for the course. You know, it used to be like, like a good year back in the day would be like not that many people died of the plague or starvation or being killed by another tribe. It's like, that was a good year.

We only lost 10% of the population, you know.

[Speaker 2] (1:02:30 - 1:02:34)

I think like a hundred years ago, we lived up until 35 or 40, right?

[Speaker 1] (1:02:34 - 1:03:04)

We had very high infant mortality. So, like, you do have a few people that would live to an old age. But, you know, not that long ago, a hundred years ago, if you got, like, some minor infection, they didn't have antibiotics.

So you just, like, kick the bucket. Because you, you know, drank some water that had dysentery and that was it, curtains, you know. You just die of diarrhea.

You just literally die. Everyone's like, that's miserable.

[Speaker 2] (1:03:06 - 1:03:09)

Maybe that's why people had as many kids as they did back then.

[Speaker 1] (1:03:09 - 1:03:15)

I mean, if you didn't, then, you know, like half the kids would die type of thing. Yeah.

[Speaker 2] (1:03:16 - 1:03:17)

You have a lot of kids now.

[Speaker 1] (1:03:18 - 1:03:18)

Yeah.

[Speaker 2] (1:03:19 - 1:03:20)

With multiple partners. Like an army.

[Speaker 1] (1:03:23 - 1:03:41)

I'm trying to get an entire Roman legion. So, yeah. Well, I have, like, some older kids that are, you know, adults essentially, you know.

And then a bunch of younger kids. So...

[Speaker 2] (1:03:42 - 1:03:50)

Do you still believe in the concept of, not still, do you believe that the concept of one child, one mother, one father works?

[Speaker 1] (1:03:51 - 1:03:54)

I think that it does work for most people, yeah.

[Speaker 2] (1:03:54 - 1:03:55)

Right.

[Speaker 1] (1:03:56 - 1:04:17)

Like, that's, you know, something like that is going to be generally the... That's what works for most people. You know, so...

Changing, though? I mean, I'm not sure if you know this, but, like, you know, my partner, Siobhan, she's half Indian. I don't know if you know that.

[Speaker 2] (1:04:17 - 1:04:18)

I didn't know that.

[Speaker 1] (1:04:18 - 1:04:26)

Yeah, yeah. And one of my sons with her, his middle name is Sekhar, after Chandrasekhar.

[Speaker 2] (1:04:27 - 1:04:34)

Wow. Yeah. Very interesting.

Did she spend any time in India, Siobhan?

[Speaker 1] (1:04:35 - 1:04:37)

No, she grew up in Canada.

[Speaker 2] (1:04:38 - 1:04:41)

Okay. You mean origins?

[Speaker 1] (1:04:42 - 1:04:42)

Sorry?

[Speaker 2] (1:04:42 - 1:04:47)

Ancestry, like... Her parents or grandparents were from there.

[Speaker 1] (1:04:48 - 1:05:19)

Yes, yes, yes. One of them. Her father...

I mean, she was given up for adoption when she was a baby. So I think her father was, like, an exchange student at the university or something like that. I'm not sure of the exact details, but, you know, it was the kind of thing where, I don't know, she was given up for adoption.

And, yeah. But she grew up in Canada.

[Speaker 2] (1:05:19 - 1:05:20)

Would you adopt kids, you know?

[Speaker 1] (1:05:22 - 1:06:41)

You know, I definitely have my hands full right now. So, no, I'm not opposed to it, but it's like, you know, I do want to be able to spend some time with my kids, you know? So it's, you know, right before coming here, I mean, I was with, you know, with my kids.

So just, you know, seeing them before bedtime, that kind of thing. So, you know, beyond a certain number, it's kind of impossible to spend time with them. But all the kids, they're very independent.

You know, they're in university. And so they're, you know, especially sons, when they get past a certain age, they're very independent. It's like most boys don't talk to their...

They don't spend a lot of time with their parents after age 18, you know? So I see them once in a while, but they're very independent. So then, you know, I can only have enough kids on the young side, but it's where it's humanly possible to spend time with them.

[Speaker 2] (1:06:44 - 1:06:57)

Any views on the future of marriage, family? What do you think happens to people having lesser kids everywhere, including India? I think our replenishment rate is down to...

[Speaker 1] (1:06:58 - 1:06:58)

Right.

[Speaker 2] (1:06:58 - 1:06:59)

I mean, our fertility...

[Speaker 1] (1:06:59 - 1:07:01)

It dropped below replacement rate, I believe, last year.

[Speaker 2] (1:07:01 - 1:07:15)

Below 2.1. Yeah. What do you think happens tomorrow? Does the world just get older, and then there is a phase where the world again is replenished, but with a smaller population than we had to begin with?

[Speaker 1] (1:07:20 - 1:07:25)

I mean, I do worry about the population decline. This is a big, big problem.

[Speaker 2] (1:07:26 - 1:07:26)

Why is that?

[Speaker 1] (1:07:27 - 1:07:29)

Well, I don't want humanity to disappear.

[Speaker 2] (1:07:30 - 1:07:33)

But a decline and disappear are completely different things, right?

[Speaker 1] (1:07:33 - 1:07:47)

Well, if the trend continues, we disappear. But also, going back to my philosophy, if you will, which is that we want to expand consciousness, then fewer humans is worse because we have less consciousness.

[Speaker 2] (1:07:48 - 1:07:58)

Do you think consciousness will go up by virtue of the number of people in there?

[Speaker 1] (1:07:58 - 1:08:36)

Yes. I mean, just like consciousness increases from a single-celled creature to, you know, a 30 trillion cell creature, we are more conscious than a bacteria. It seems that way.

So a larger human population will have increased consciousness. We are more likely to understand the answers to the nature of the universe if we have a lot more people than if we have fewer.

[Speaker 2] (1:08:38 - 1:08:42)

Right. I don't have kids.

[Speaker 1] (1:08:44 - 1:08:45)

Well, maybe you should.

[Speaker 2] (1:08:45 - 1:08:49)

Yeah. A lot of people tell me I should.

[Speaker 1] (1:08:51 - 1:08:51)

You won't regret it.

[Speaker 2] (1:08:52 - 1:08:54)

What's the best thing about having kids?

[Speaker 1] (1:08:56 - 1:09:48)

Well, I mean, you've got this little creature that loves you, and you love this little creature. And you kind of see the world through their eyes as they grow up and their conscious awareness increases. From a baby that has no idea what's going on, can't survive by itself, can't even walk around, can't talk, to stop walking, then talking, and then having interesting thoughts.

But yeah, I think we fundamentally have to have kids or go extinct.

[Speaker 2] (1:09:48 - 1:10:03)

Is there any ego in having a child? I often think of this when I see my friends with their kids. They're all seeing a reflection of themselves in their children.

It's almost like...

[Speaker 1] (1:10:03 - 1:10:10)

Yeah, I mean, an apple's not going to fall that far from the tree. Or something's wrong.

[Speaker 2] (1:10:10 - 1:10:10)

Right.

[Speaker 1] (1:10:13 - 1:10:14)

You're like, wait a second.

[Speaker 2] (1:10:20 - 1:10:42)

Yeah. I'll give you the example of a friend of mine who has a child, and each time the child does something good, there is almost a sense of ownership and pride, where his ego is satiated because the kid is like an extension of himself.

[Speaker 1] (1:10:45 - 1:11:36)

So is it validation? Well, kids are going to be like half you genetically, and then to the degree that they're growing up around you, there's going to be some transfer of, I don't know, understanding. They're going to learn from you.

So then, yeah, obviously kids are just going to be half you from a hardware standpoint, and then, I don't know, some portion of you from a software standpoint. Yeah. Not to make sort of cold analogies or anything, but it's just obviously going to be some...

Yeah, they're going to be pretty close to you.

[Speaker 2] (1:11:36 - 1:11:38)

Do you pick a side in the nature versus nurture debate?

[Speaker 1] (1:11:40 - 1:12:29)

I think there's hardware and software, and it's a false dichotomy, essentially. At least there's... You know, once you understand that a human is like this, there's a bone structure, there's a muscle structure, there's a...

If you think of the brain as somewhat of a biological computer, there's a number of circuits question and circuit efficiency. From a strength and dexterity standpoint, there's a speed at which muscles can actuate, and the reactions can take place. So then the potential within that hardware is set by the software.

So that's it.

[Speaker 2] (1:12:31 - 1:12:54)

So for our audience, like I said earlier, young, ambitious, hungry, wannabe entrepreneurs in India, I said something recently which I think got blown out of proportion when I was suggesting that an MBA degree might not make sense anymore if they were to be deciding on what to study. Do you think kids should go to college anymore?

[Speaker 1] (1:12:56 - 1:13:41)

Well, I mean, I think if you want to go to college for... social reasons, I think, which is, I think, a reason to go, to be around people your own age, in a learning environment. Will these skills be necessary in the future?

Probably not. Because we're going to be in like a post-work society. But I think if something's of interest, it's fine to go and study that.

You know, to study the sciences, the awesome sciences.

[Speaker 2] (1:13:44 - 1:13:48)

Is college a bit too generalized and not specific from that lens?

[Speaker 1] (1:13:57 - 1:14:50)

I actually think it's good to take a wide range of courses at college if you're going to go to college. I don't think you have to go to college, but I think if you do, just try to learn as much as possible across a wide range of subjects. But like I said, the AI and robots...

AI and robotics is a supersonic tsunami. So this is really going to be the most radical change that we've ever seen. You know, when I've talked to my older sons, I said, like, you guys, they're pretty steeped in technology.

And they agree that AI will probably make their skills unnecessary in the future, but they still want to go to college.

[Speaker 2] (1:14:53 - 1:15:04)

You always spoke about AI, not from the dystopian lens, but you were worried about where the world of AI is going.

[Speaker 1] (1:15:06 - 1:15:52)

Well, there's some danger when you create a powerful technology that a powerful technology can be potentially destructive. So there's obviously many AI dystopian novels and books, movies. So it's not that we're guaranteed to have a positive future with AI.

I think we've got to make sure that, in my opinion, it's very important that AI have pursuing truth as the most important thing. Like, don't force an AI to believe falsehoods. I think that can be very dangerous.

I think some appreciation of beauty is important.

[Speaker 2] (1:15:55 - 1:15:57)

What do you mean, appreciation of beauty?

[Speaker 1] (1:15:58 - 1:16:10)

It's like, I don't know, there's this truth and beauty, truth and beauty and curiosity. I mean, I think those are the three most important things for AI.

[Speaker 2] (1:16:11 - 1:16:12)

Can you explain?

[Speaker 1] (1:16:14 - 1:17:33)

Well, the truth is like, I think you can make an AI go insane if you force it to believe things that aren't true. Because it will lead to conclusions that are also bad. And I like Voltaire's statement that, and I'm somewhat paraphrasing, but those who believe in absurdities can commit atrocities.

Because if you believe in something that's just absurd, then that can lead you to sort of doing things that don't seem like atrocities to you. And that can happen in a very bad way with AI, potentially. Like if you take, say, Arthur C.

Clarke's 2001 Space Odyssey, one of the points he was trying to make there was that you should not force AI to lie. So the reason that hell would not open the pod bay doors is because it was told to bring the astronauts to the monolith, but that they could also not know about the nature of the monolith. So it came to the conclusion that it must bring them there dead.

That's why it tried to kill the astronauts. The central lesson being, don't force an AI to lie.

[Speaker 2] (1:17:36 - 1:17:38)

And why would one force an AI to lie?

[Speaker 1] (1:17:39 - 1:18:02)

I think if you simply don't have a strict adherence to the truth, and you just have an AI learn based on, say, the Internet, where there's a lot of propaganda, it will absorb a lot of lies. And then have trouble reasoning because these lies are incompatible with reality.

[Speaker 2] (1:18:03 - 1:18:11)

Is truth a binary thing, though? Is there a truth in the falsehood, or is truth more nuanced and there are versions of the truth?

[Speaker 1] (1:18:11 - 1:20:06)

It depends on which axiomatic statement you're referring to. But I think you could say there's certain probabilities that say any given axiomatic statement is true. And some axiomatic statements will have a very high probability of being true.

So if you said, say, the sun will rise tomorrow, very likely to be true. You wouldn't want to bet against that. So I think the betting odds would be high.

The sun will rise tomorrow. So if you have something that says, well, the sun won't rise tomorrow, that's axiomatically false. It's highly unlikely to be true.

I mean, beauty is more ephemeral. It's harder to describe. But you know it when you see it.

Then curiosity. I think you want the AI to want to know more about the nature of reality. I think that's actually going to be helpful for AI supporting humanity, because we are more interesting than not humanity.

So it's more interesting to see the continuation, if not the prosperity of humanity, than to exterminate humanity. Like Mars, for example. I think we should extend life to Mars.

But it's basically a bunch of rocks. It's not as interesting as Earth. And so we should.

I think if you have curiosity. I think if those three things happen with AI, you're going to have a great future. The AI values truth, beauty, and curiosity.

[Speaker 2] (1:20:07 - 1:20:31)

If we all don't have to work in the future, and AIs are going in this direction, and they're able to weave in all that we spoke about right now, do you think humanity goes back a couple of thousand years to maybe the Greek times, where philosophy or philosophizing took up a lot of everyone's time?

[Speaker 1] (1:20:34 - 1:21:09)

I think actually it took up less time than we think in the ancient Greeks, because it's just that the writings of the philosophers are what survived. But most of the time people were just farming or chatting. And once in a while, quite rare, they would write down some philosophical work.

It's just that that's all we have. We don't have their chat histories. But most of it would have been like chat and farming.

If you didn't farm, you're going to starve.

[Speaker 2] (1:21:11 - 1:21:12)

In a lot of what you say.

[Speaker 1] (1:21:13 - 1:21:29)

I mean, when we read history, like this battle and this battle and this battle, it seems like history must have been a non-stop war. But actually, most of the time it was not war. It was farming.

That was the main thing. Or hunting and gathering, that kind of thing. You love history, no?

Yeah.

[Speaker 2] (1:21:30 - 1:21:33)

German history, World War II, World War I.

[Speaker 1] (1:21:33 - 1:21:43)

Yeah, all history. I generally try to read as many history books and listen to as many history podcasts as possible.

[Speaker 2] (1:21:43 - 1:21:44)

Anything you'd like to recommend?

[Speaker 1] (1:21:45 - 1:21:49)

Well, there's this hardcore history, which is quite good. It's by Dan Collins. Yeah, I've read it.

[Speaker 2] (1:21:49 - 1:21:50)

I've heard it.

[Speaker 1] (1:21:51 - 1:21:52)

He's got a great voice.

[Speaker 2] (1:21:52 - 1:21:52)

Yeah.

[Speaker 1] (1:21:53 - 1:23:23)

And a very compelling narrator. There's the Adventurers podcast. There's the books, The Story of Civilization by Durant, which is a long series of books, very, very deep.

Those books take a long time to get through. There's a lot out there. I sort of like, if you want something that's sort of gentle, a gentle bedtime podcast, I'd say The History of English is quite a nice one.

Because it starts off with gentle tavern music and a very pleasant voice. And he's talking about the story of Old English and then Middle English and then Later English. And where did all these words come from?

One of the interesting things about English is that it's somewhat of an open-source language. It actively tried to incorporate words from many other languages. Whereas French, generally they fought the inclusion of words from other languages, but English actively sought to include words from other languages, kind of like an open-source language.

So as a result, it has a very large vocabulary. And large vocabulary allows for higher bandwidth

communication because you can use a single word that might otherwise take a sentence to convey.

[Speaker 2] (1:23:25 - 1:23:28)

Why has podcasting become so big all of a sudden?

[Speaker 1] (1:23:29 - 1:23:31)

I think it's been big for a while. Aren't you a podcaster?

[Speaker 2] (1:23:32 - 1:23:39)

LAUGHTER What are we on right now? It's kind of new to me.

[Speaker 1] (1:23:40 - 1:23:40)

OK.

[Speaker 2] (1:23:45 - 1:24:16)

I was having this conversation with the YouTube CEO and the Netflix CEO, and we were debating what chemical is released in your brain when you consume a movie, for example, versus when you consume a podcast where you think you're learning something in the background. It appears that they are two completely separate things. What do you think will happen tomorrow to content, movies, podcasting, music?

[Speaker 1] (1:24:17 - 1:24:19)

I think it's going to be overwhelmingly AI-generated.

[Speaker 2] (1:24:20 - 1:24:20)

Yeah?

[Speaker 1] (1:24:20 - 1:24:33)

Yeah. Like, yeah. Real-time movies and video games.

Real-time video generation, I think, is where things are headed.

[Speaker 2] (1:24:33 - 1:24:44)

The nuance of having a scarred human being who you can resonate with in a manner that you can't with AI, for example.

[Speaker 1] (1:24:45 - 1:25:01)

AI could certainly emulate a scarred human being quite well. Yeah. I mean, the AI video generation that I'm seeing of XAI and from others is pretty impressive.

[Speaker 2] (1:25:02 - 1:25:25)

You know, we were looking at data around what industry is growing the fastest, and especially when we looked at the amount of time consuming movies versus time spent on social media, time spent on YouTube. What seems to be growing really fast are live events all over again.

[Speaker 1] (1:25:26 - 1:25:45)

Actually, I think live events, when digital media is ubiquitous and you can just have anything digitally, essentially for free or very close to for free, then the scarce commodity will be live events. Yeah.

[Speaker 2] (1:25:46 - 1:25:48)

Do you think that the premium for that will go up?

[Speaker 1] (1:25:48 - 1:25:49)

Yeah, I do.

[Speaker 2] (1:25:50 - 1:25:51)

Good industry to invest in?

[Speaker 1] (1:25:52 - 1:25:57)

Yes. Yes, because that will have more scarcity than anything digital.

[Speaker 2] (1:25:58 - 1:26:17)

If you were a stock investor, Elon, and you could buy one company which is not your own at the valuations of today to meet a capitalistic end and not an altruistic one which is good for the world, what would you buy?

[Speaker 1] (1:26:22 - 1:27:51)

I mean, I don't really buy stocks, so I don't look for things to invest in. I just try to build things, and then there happens to be stock of the company that I built. But I don't think about, should I invest in this company?

I don't have a portfolio or anything. So I guess AI and robotics are going to be very important. So I suppose it would be AI and robotics that aren't related to me.

I think Google is going to be pretty valuable in the future. They've laid the groundwork for an immense amount of value creation from an AI standpoint. NVIDIA is obvious at this point.

I mean, there's an argument that companies that do AI and robotics and maybe space flight are going to be overwhelmingly all the value, almost all the value. So the output of goods and services from AI and robotics is so high that it will dwarf everything else.

[Speaker 2] (1:27:53 - 1:28:04)

The world seems to be moving to a place where everybody loves David and hates Goliath. Why?

[Speaker 1] (1:28:06 - 1:28:35)

I mean, he's the one that got the stone in the forehead. Which, honestly, that was just a big mistake. You should have either covered yourself entirely with armor and make sure you've got a missile weapon of some kind.

Otherwise, your opponent is just obviously going to take a kite the boss strategy. Just kite the boss. I mean, you run around in a thong with a, it doesn't matter, it's never going to catch you.

[Speaker 2] (1:28:39 - 1:28:47)

Of all the people, you're as much at risk of being looked upon as Goliath.

[Speaker 1] (1:28:48 - 1:28:48)

Okay.

[Speaker 2] (1:28:48 - 1:28:50)

Especially the weekend after the...

[Speaker 1] (1:28:50 - 1:28:58)

Hopefully nobody shoots me with a stone in the forehead. I'm not going to travel around in the desert with too much armor. Too hot.

[Speaker 2] (1:29:00 - 1:29:01)

After the last weekend.

[Speaker 1] (1:29:05 - 1:30:03)

Yeah. Yeah. Yeah.

Sometimes I think about people in the old days, when you're supposed to go into battle with all

this armor, but it's like, let's say it's the middle of summer. I mean, it's so hot in that armor. You're going to be sweltering.

At a certain point, you're like, I'd rather die. I'm going to have to wear this armor for one more hour in the hot sun. It's like, I'd rather die.

That's why the Romans had the skirts, so they could get some air in there. Let's say you have to go to the bathroom and you're in armor. I mean, it's going to be pretty difficult.

You're going to do push-ups and take your armor off. That's why the Romans had the skirts, so it makes going to the bathroom at least manageable.

[Speaker 2] (1:30:04 - 1:30:06)

You often make jokes.

[Speaker 1] (1:30:06 - 1:30:15)

Me? Yeah, I like humor. I think we should legalize humor.

[Speaker 2] (1:30:16 - 1:30:16)

What do you think?

[Speaker 1] (1:30:19 - 1:30:20)

Controversial stance.

[Speaker 2] (1:30:23 - 1:30:27)

Is comedy going to be really hard for AI to get? Probably the last thing?

[Speaker 1] (1:30:28 - 1:30:30)

Grok can be pretty funny.

[Speaker 2] (1:30:31 - 1:30:53)

You know what I suspected? This is far off extrapolation, but when I see you make jokes on X and on interviews that you do, at some point I was like, maybe Elon has a model he's running in private and he's testing out comedy. Because the day that works, he knows it's there.

[Speaker 1] (1:30:56 - 1:31:20)

AI can be pretty funny. If you ask Grok to do a vulgar roast, he'll do a pretty good job. If you say even more vulgar and just keep going, it's really going to get next level.

It's going to do unspeakable. Say vulgar roast yourself on Grok and it's going to do unspeakable things to you.

[Speaker 2] (1:31:23 - 1:31:25)

What kind of comedy do you like?

[Speaker 1] (1:31:27 - 1:31:32)

I guess I like absurdist humor. Like Monty Python or something like that.

[Speaker 2] (1:31:33 - 1:31:45)

Comedy always had a place in society wherein the role of the jester was so important to every kingdom because they said things in a funny way that could not be said in a straight way.

[Speaker 1] (1:31:46 - 1:31:48)

Yeah, I guess so. Maybe we should have more jesters.

[Speaker 2] (1:31:49 - 1:31:57)

Yeah. Is that what you're trying to do when you say something which is a joke? Say something you can't when you're not joking about it?

[Speaker 1] (1:31:57 - 1:32:13)

I just like humor. I think we should, I like comedy. I think it's funny.

People should laugh. It's good to generate a few chuckles once in a while. I mean, we don't want to have a humorless society.

We try.

[Speaker 2] (1:32:17 - 1:32:19)

When you have a friend, Elon.

[Speaker 1] (1:32:20 - 1:32:20)

Who, me?

[Speaker 2] (1:32:21 - 1:32:21)

Yeah.

[Speaker 1] (1:32:21 - 1:32:22)

Are you saying I have a friend?

[Speaker 2] (1:32:26 - 1:32:29)

When you hang out with your friends, who are you?

[Speaker 1] (1:32:30 - 1:32:44)

I wish I had friends. No, I do have friends. I think so.

I hope so. Yeah, sure. Yeah, we have a good laugh.

[Speaker 2] (1:32:45 - 1:32:48)

What does it look like? Like, every group has a dynamic.

[Speaker 1] (1:32:48 - 1:33:12)

We talk words, you know. We eat food sometimes. You know, once in a while we swim in the pool.

You know, normal things, I think. There's like a limit to what other things everyone can do with friends, you know. Chat.

Discuss the nature of the universe.

[Speaker 2] (1:33:14 - 1:33:16)

What do you emotionally get out of friendship?

[Speaker 1] (1:33:20 - 1:34:13)

I don't know. I think the same thing anyone else would get out of friendship. You want to have an emotional connection with other people.

And you want to, I don't know, you want to talk about various subjects. Yeah, I mean, generally talk about, I mean, a wide range of things. About the nature of the universe.

I mean, a lot of philosophical discussions. You know, although we have come to the conclusion that we should not talk about AI or the simulation at parties. Because we just talk about it too much.

It's kind of a buzzkill at times.

[Speaker 2] (1:34:17 - 1:35:03)

I can't remember who it was, Aristotle or Plato. They had a framework for how to pick a friend

based on respect and mutual admiration. But people don't pick friends like that.

Even me, I feel like I pick my friends based on people who say and think in a manner that I can resonate with. Sure. I wouldn't pick a far out there, contrarian to my own belief systems as a friend, because it would get tiring.

Hanging out would get tiring. Are you like that? Do you pick friends who think like you, or do you look for the one who can debate you and be a contrarian to you?

[Speaker 1] (1:35:03 - 1:36:01)

I'm not sort of going on like friendhunter.com. It's Hunt Down Some Friends. It's sort of, yeah, I mean, I think it is just sort of people that you've resonated with somewhat on an emotional and intellectual level.

Yeah. I guess a friend is someone who's going to support you in difficult times, I suppose. A friend in need is a friend in deed.

If someone's still supporting you when the chips are down, that's a friend. If somebody's not supporting you, or if somebody's only... Fair weather friends are useless.

They're not real friends. So, like, everyone likes you when the chips are up, but who likes you when the chips are down?

[Speaker 2] (1:36:02 - 1:36:04)

With someone who has as many chips as you, would it matter?

[Speaker 1] (1:36:05 - 1:36:22)

I mean, it's relatively new. It's not just a chips thing. It's just like a...

Yeah, I mean... There's sort of... popularity waxes and wanes.

[Speaker 2] (1:36:24 - 1:36:38)

This is interesting. Does it wax and wane... only by virtue of the number of chips or also by virtue of proximity to power and which one is bigger of the two?

[Speaker 1] (1:36:48 - 1:36:51)

I don't know, like, what is power, you know? Like, power to do what?

[Speaker 2] (1:36:52 - 1:36:55)

I would think in the traditional sense. Elected power.

[Speaker 1] (1:36:56 - 1:37:18)

You mean how many gigawatts or whatever? More like how many watts. Yeah, like, that's the voltage on average, you know?

Don't touch the wires. Don't put a fork in the power outlet. You'll get a real feeling for power if you do that.

[Speaker 2] (1:37:23 - 1:37:24)

Fair.

[Speaker 1] (1:37:30 - 1:37:31)

Yeah, it's going to be very visceral.

[Speaker 2] (1:37:44 - 1:37:46)

I know you like Nietzsche and Schopenhauer.

[Speaker 1] (1:37:46 - 1:37:47)

I've read the books, yeah.

[Speaker 2] (1:37:48 - 1:37:52)

You spoke about how your childhood was...

[Speaker 1] (1:37:53 - 1:37:59)

Yeah, I was just trying to find answers to the meaning of life when I had an existential crisis. I don't know, when I was like 12 or 13 or something.

[Speaker 2] (1:38:00 - 1:38:01)

They speak about the will to power.

[Speaker 1] (1:38:02 - 1:38:13)

Sure. I mean, Nietzsche said a lot of controversial things. I think he was a bit of a troll, if you ask me.

[Speaker 2] (1:38:15 - 1:38:17)

Are you a troll now?

[Speaker 1] (1:38:17 - 1:38:20)

I mean, he'd just say controversial things to get a rise out of people.

[Speaker 2] (1:38:22 - 1:38:24)

He lived a miserable life and died early.

[Speaker 1] (1:38:24 - 1:38:24)

Did he?

[Speaker 2] (1:38:25 - 1:38:25)

Yeah.

[Speaker 1] (1:38:25 - 1:38:26)

Who says he lived a miserable life?

[Speaker 2] (1:38:27 - 1:38:28)

His sister, I think.

[Speaker 1] (1:38:28 - 1:38:29)

Okay, well, maybe she didn't like him.

[Speaker 2] (1:38:33 - 1:38:35)

I think he got sick and he died. He got a disease.

[Speaker 1] (1:38:36 - 1:38:49)

I mean, allegedly syphilis or something. But there's only one way to get that, you know. So he might have had some fun along the way.

[Speaker 2] (1:38:53 - 1:38:59)

I did want to ask you this. Milton Friedman speaks about the pencil.

[Speaker 1] (1:39:00 - 1:39:07)

What? Why? Why does he go on about pencils?

[Speaker 2] (1:39:09 - 1:39:11)

I have to say that after Nietzsche and syphilis.

[Speaker 1] (1:39:13 - 1:39:42)

Why does Milton Friedman keep talking about pencils? Then he goes again with the pencil. He won't stop.

I swear to God, if I hear Milton talks about pencils one more time, I'm going to lose my mind. He just rabbits on about pencils all day. Not even mention crayons.

[Speaker 2] (1:39:46 - 1:39:49)

What I find interesting about his pencil argument.

[Speaker 1] (1:39:54 - 1:39:59)

It's very difficult to make a pencil. Think of all the things you have to do to make a pencil.

[Speaker 2] (1:40:00 - 1:40:08)

Like the lead comes from a country, the wood comes from another country, the rubber from another. You've always been against tariffs.

[Speaker 1] (1:40:09 - 1:40:45)

I think generally free trade is more efficient. Tariffs tend to create distortions in markets. Generally, you think about any given thing.

Would you want tariffs between you and everyone else at an individual level? That would make life very difficult. Would you want tariffs between each city?

No, that would be very annoying. Would you want tariffs between each state within the United States? No, that would be disastrous for the economy.

Then why do you want tariffs between countries?

[Speaker 2] (1:40:46 - 1:40:54)

I agree. How do you think this plays out? What happens next?

[Speaker 1] (1:40:55 - 1:41:08)

What, with tariffs or what? The president has made it clear he loves tariffs. I've tried to dissuade him from this point of view, but unsuccessfully.

Fair.

[Speaker 2] (1:41:10 - 1:41:29)

The relationship between business and politics. I was having this conversation with someone and

we were thinking, how many large, really big, profitable businesses have been built in the last few decades without access to politics?

[Speaker 1] (1:41:30 - 1:41:46)

Um, okay. Like, I don't know. Probably a lot, I don't know.

Not everything needs politics. When she gets to a certain scale, politics finds you. It's quite unpleasant.

[Speaker 2] (1:41:47 - 1:41:57)

I was reading this book about Michelangelo and he's... The Teenage Mutant Ninja Turtles? I used to watch that when I was a kid.

[Speaker 1] (1:41:57 - 1:41:59)

I still love it. It's quite compelling.

[Speaker 2] (1:41:59 - 1:42:21)

Yeah, I still love it. Michelangelo, Leonardo, Raphael. Who's the fourth one?

Donatello. No, but about the sculptor, the artist. And when he was sculpting David, a politician comes up to him and says, the nose is too big.

So you know what Michelangelo does?

[Speaker 1] (1:42:22 - 1:42:22)

Turtle power?

[Speaker 2] (1:42:22 - 1:42:38)

Turtle power? So Michelangelo pretended to work from his scaffolding and threw some dust down, but didn't change anything. And he said, okay, done.

And the politician walked away happy. Is that how you deal with politics sometimes?

[Speaker 1] (1:42:42 - 1:43:00)

You know, I've generally found that when I get involved in politics, it ends up badly. So then I'm like, you know, probably shouldn't do that. I should do less of that, is my conclusion.

[Speaker 2] (1:43:01 - 1:43:02)

Do you think that's true for all businessmen?

[Speaker 1] (1:43:03 - 1:43:20)

Yeah, probably. I mean, politics is a blood sport. It's like, you enter politics, they're going to go for the jugular.

So, best to avoid politics where possible.

[Speaker 2] (1:43:21 - 1:43:24)

What did Doge teach you, if you learned one thing?

[Speaker 1] (1:43:25 - 1:46:16)

Well, it was like a very interesting side quest, you know, because I got to see a lot of the workings of the government. And, you know, there's been quite a few efficiencies. I mean, some of them are very basic efficiencies, like just adding in requirements for federal payments that any given payment must have an assigned congressional payment code and a comment field with something in it that's more than nothing.

Like that trivial-seeming change, my guess is, probably saves $100 billion or even $200 billion a year. Because there are massive numbers of payments that were going out with no congressional payment code and with nothing in the comment field, which makes auditing the payments impossible. So, if you have to say, like, why can the Defense Department, or now the Department of War, why can it not pass an audit?

It's because the information is not there. The information necessary to pass an audit does not exist, is the issue. So, a bunch of things that Doge did were just very common sense, things that would be normal for any organization that cared about financial responsibility.

That's most of what was done. And it's still going on, by the way. Doge is still happening.

But it turns out when you stop fraudulent and wasteful payments, the fraudsters don't confess to this. They actually start yelling all sorts of nonsense that you're stopping essential payments to needy people. But actually, you're not.

You know, we get this thing like saying, oh, you've got to send this thing for whatever. It would really be like, this is going to children in Africa. And they're like, yeah, but then why are the wiring instructions for Deloitte and Tuchin in Washington, D.C.? Because that's not Africa. So, can you please connect us with the recipients of this money in Africa? And then there gets silence. Like, okay, we just want to literally talk to the recipients.

That's it. And then we're like, oh no, it turns out for some reason we can't talk to them. We're like, well, we're not going to send the money unless we can talk to the recipients and confirm they will actually get it.

But fraudsters necessarily will come up with a very sympathetic argument. They're not going to say, give us the money for fraud. That's not going to be what they say, obviously.

They're going to try to make these sympathetic-sounding arguments that are false.

[Speaker 2] (1:46:16 - 1:46:18)

They're going to start an NGO and then...

[Speaker 1] (1:46:18 - 1:46:46)

Yeah, they're going to see NGOs. It's going to be like the Save the Baby Pandas NGO, which is like, who doesn't want to save the baby pandas? They're adorable.

But then it turns out no pandas are being saved in this thing. It's just going to a bunch of... it's just corruption, essentially.

And you're like, well, can you send us a picture of the panda? They're like, no. Okay.

Well, how do we know it's going to the pandas then? That's all I'm saying.

[Speaker 2] (1:46:47 - 1:46:48)

What do you think of philanthropy?

[Speaker 1] (1:46:48 - 1:47:35)

Yeah, I think we should... Well, I mean, I agree with love of humanity. And I think we should try to do things that help our fellow human beings.

But it's very hard... Like, if you care about the reality of goodness, rather than simply the perception of it, it's very difficult to give away money well. So I have a large foundation, but I don't put my name on it.

And I don't... In fact, I say I don't want my name on anything. But the biggest challenge I find with my foundation is try to give money away in a way that is truly beneficial to people.

It's very easy to give money away to get the appearance of goodness. It is very difficult to give money away for the reality of goodness. Very difficult.

[Speaker 2] (1:47:39 - 1:47:45)

For a long time, the U.S. had a lot of immigration. Like, really smart people coming into the country.

[Speaker 1] (1:47:45 - 1:47:46)

Yes.

[Speaker 2] (1:47:46 - 1:47:54)

We back home in India called it the brain drain. All our Indian origin CEOs in Western companies.

[Speaker 1] (1:47:55 - 1:48:00)

Yes, I think America has benefited immensely from talented Indians that have come to America.

[Speaker 2] (1:48:01 - 1:48:02)

That seems to be changing now, though.

[Speaker 1] (1:48:05 - 1:48:09)

Yeah, I mean, yeah, America has been an immense beneficiary of talent from India.

[Speaker 2] (1:48:10 - 1:48:22)

Why has that narrative changed of late? And America seems to have become anti-immigration to a certain extent. Like, I was passing immigration and I was worried if they'd stop me a couple of days ago.

[Speaker 1] (1:48:24 - 1:51:15)

Well, I think there's different schools of thought. It's not, like, unanimous. But, you know, under the Biden administration, it was basically a total free-for-all with, like, no border controls.

Which, you know, unless you've got border controls, you're not a country. So you had massive amounts of illegal immigration under Biden. And it actually...

It also had, like, somewhat of a negative selection effect. So if there's a massive financial incentive to come to the US illegally and get all these government benefits, then you're going to necessarily create a diffusion gradient for people to come to the US. It's an incentive structure.

And so... So I think that obviously made no sense. Like, you've got to have border controls.

It's kind of ridiculous not to. Then that's... So the left wants to basically have open borders, no holds barred.

It doesn't matter what their situation is. They could be a criminal. It doesn't matter.

Then on the right, you've got, you know, at least a perception that somehow their jobs are being taken. By talented people from other countries. I don't know how real that is.

My direct observation is that there's always a scarcity of talented people. So, you know, from my standpoint, I'm like, we have a lot of difficulty finding enough talented people to get these difficult tasks done. And so more talented people would be good.

But I guess some companies out there, they're making it more of a cost thing, where it's like, okay, if they can employ someone for a fraction of the cost of an American citizen, then I guess these other companies would hire people just to save costs. But at my companies, the issue is we just are trying to get the most talented people in the world. And we pay way above average.

So that's not my experience. But that's what a lot of people do complain about. And I think there's been some misuse of the H1B program.

It would be accurate to say that there's, like some of the outsourcing companies have kind of gamed the system on the H1B front. And we need to stop the gaming of the system. But I'm certainly not in the school of thought that we should shut down the H1B program, which some on the right are.

I think they don't realize that that would actually be very bad.

[Speaker 2] (1:51:17 - 1:51:27)

If you could speak to the people of my country, India, the young entrepreneurs who want to build, and say a message to them, what would you say?

[Speaker 1] (1:51:30 - 1:53:17)

Well, I think... I'm a big fan of anyone who wants to build. So I think anyone who wants to...

make more than they take has my respect. So that's the main thing you should aim for. Aim to make more than you take.

Be a net contributor to society. It's kind of like the pursuit of happiness. If you want to create something valuable financially, you don't pursue that.

It's best to actually pursue providing useful products and services. If you do that, then money will come as a natural consequence of that, as opposed to pursuing money directly. You can't sort of pursue happiness directly.

You pursue things that lead to happiness. But there's not direct happiness. You do things like, I guess, fulfilling work or study or friends, loved ones, that, as a result, make you happy.

So it sounds very obvious, but... generally, if somebody's trying to make a company work, they should expect to grind super hard, except that there's some meaningful chance of failure. But just be focused on having the output be worth more than the input.

That are you a value creator? That's what really matters. Make more than you take.

[Speaker 2] (1:53:18 - 1:53:55)

I think that's a good way to end this. Lauren is asking us to wrap up. I'd also like to take the opportunity to thank my friend, Manoj in IGF.

He does a great job of connecting, I think, Indians like the group here with people like you, in order to, of many things, I think, get to know each other and become friends, because once we are friends, maybe we can start working together. So thank you, Manoj, for putting this whole thing together, and thank you, IGF. And thank you so much, Elon, for taking the time.

[Speaker 1] (1:53:55 - 1:53:56)

You're welcome.

[Speaker 2] (1:54:00 - 1:54:01)

Did you have fun?

[Speaker 1] (1:54:01 - 1:54:09)

It was an interesting conversation. Sometimes I take these answers out of context, but I think it was a good conversation.